# REQUEST FOR PROPOSAL

## PRIVATE MARKET CONSULTING SERVICES

*Prepared: July 1, 2024*

**Missouri Local Government Employees Retirement System (LAGERS)**
701 W. Main Street, Jefferson City, MO 65101
RFP Contact: Scott Day
Email: sday@molagers.org
Phone: 573-632-6353

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# Section 1: Introduction

## Purpose & RFP Objectives

Missouri Local Government Employees Retirement System (LAGERS) is issuing this Request for Proposal (RFP) for the purpose of soliciting qualified firms to provide private market consulting services. A qualified Private Market Consultant will be capable of providing LAGERS with a variety of investment advisory, monitoring, and reporting services. The term 'Private Market Consultant' encompasses all private markets and alternative investment strategies including (but not limited to) private equity (venture capital, growth equity, and buyouts), private real asset (infrastructure, natural resources, and real estate), private debt (direct lending, mezzanine debt, and distressed debt), and other liquid alternatives (hedge funds).

The selected consultant will be expected to offer analysis, advice, and recommendations with respect to LAGERS Private Market portfolio. As provided below, the RFP bifurcates year 1 services and year 2 onward, with LAGERS having the option (but not the obligation) to engage the Private Market Consultant with year 2 onward services.

## Overview of LAGERS

LAGERS provides retirement and other benefits to the employees of more than 800 local government agencies and public entities in the state of Missouri. Established by the 74th Missouri General Assembly in 1967, LAGERS is administered under Chapter 70 of the Missouri Revised Statutes. LAGERS' membership includes employees of many local government counties and cities, hospitals, libraries, ambulance districts, and other public entities. LAGERS has over 35,000 active members and pays retirement benefits to over 28,000 retirees and beneficiaries.

For more information on LAGERS, Annual Comprehensive Financial Reports and other information can be viewed online at www.molagers.org.

## Overview of LAGERS' Investments

LAGERS manages, invests, and administers a defined benefit plan which paid out $455 million in retirement benefits in the fiscal year 2023. The strategic asset allocation (SAA) for the LAGERS investment portfolio is provided in the table below (note: LAGERS is engaged in a new SAA study expected to be completed by March 2025):

## Statement of Investment Policy

The LAGERS Statement of Investment Policy can be viewed online at www.molagers.org.

# Section 2: Conditions

## Sequence of Events

| Date | Action |
|---|---|
| July 5, 2024 | Issue RFP |
| July 12, 2024 | Clarifying questions, if any, due |
| July 19, 2024 | LAGERS response to clarifying questions due |
| July 26, 2024 | Proposals due (5 pm CT) |
| August 2, 2024 | Finalists determined |
| Week of August 12 – 16, 2024 | Finalists presented to Board of Trustees |
| August 30, 2024 | Contract finalization |
| September 1, 2024 | Implementation begins |

## Explanation of Events

The following describes the activities listed in the sequence of events:

1. Issue RFP: This RFP is being issued by LAGERS on July 5, 2024
2. Clarifying questions due: Potential Providers should submit requests for clarification via email to sday@molagers.org by 5pm CT on July 12, 2024
3. Responses to questions: Responses to questions and any other documentation pertaining to this RFP will be sent electronically by 5 pm CT on July 19, 2024
4. Proposals due: Proposal to this RFP due on or before 5 pm CT on July 26, 2024.
5. Finalists determined: Finalists pertaining to this RFP will be determined by 5 pm CT on August 2, 2024.
6. Finalists presented to Board of Trustees the week of August 12 – 16, 2024
7. Contract finalization: The contract will be finalized with the selected Provider by August 30, 2024.
8. Implementation: Implementation will begin by September 1, 2024

## Instructions for Submitting Proposals

**The proposals shall be submitted by email to Scott Day, Chief Investment Officer, at the following address on, or before, 5pm Central Time, July 26, 2024:**

**sday@molagers.org**

Confirmation of receipt of proposal will be provided via email on the day it is received or the next business day if such proposal is received at a time that the office is closed.

LAGERS reserves the right to retain all responses and accompanying documentation submitted and to use any ideas contained in responses regardless of whether that response is selected. Responses retained shall become the property of LAGERS and shall be public documents pursuant to Missouri Law. Submission of a response constitutes acceptance of all conditions contained in this request for qualifications and quotations, unless clearly and specifically noted in the response submitted and confirmed and expressly accepted in the subsequent contract between the firm and LAGERS.

All the conditions set forth in this section must be included and addressed thoroughly and completely by the Provider before LAGERS may accept a response to this RFP. Proposals failing to comply with this paragraph may be rejected without notice at the sole discretion of LAGERS.

When responding to this request, we encourage you to describe the ways in which you believe your organization's service capability is unique or would add value. Please be succinct in your answers and if certain services cannot be provided, please so state where appropriate.

## Evaluation Criteria

Providers will be evaluated based on their written responses to this Proposal. Additional written information as requested will be considered against criteria that include:

1. Provider's overall ability to provide the scope of services required by LAGERS.
2. Provider's depth of private market products and services, including LAGERS ability to access key research and professionals, including the client servicing team to be assigned to serve the LAGERS relationship.
3. Provider's system and technology infrastructure used in the delivery of research and reporting and LAGERS ability to interface with existing systems and structures.
4. Provider's ability to work with administrative and investment teams, providing investment support for private market structures, pacing, research, analysis, and training/education.
5. Provider's ability to provide staff and Board of Trustees detailed reports, information, and discussion in development of action plans for current and future issues.
6. Breadth/depth of Provider's clients, assets under advisement, industry reputation, and any potential conflicts of interest between the Provider and LAGERS.
7. The overall quality of Provider's written proposal and oral presentation, if any.
8. Provider's fee proposal.
9. LAGERS' internal and external costs of the transition.

Fees and compensation will be important factors in the evaluation process; however, LAGERS will also evaluate on which Provider can service LAGERS' needs in the most complete, efficient, and economic manner.

LAGERS reserves the right to consider additional criteria not presented here.

## Miscellaneous Information

### Due Diligence Visits and Oral Presentations by Finalists

Providers that submit proposals in response to this RFP may be required to accommodate an on-site visit by representatives of LAGERS or a presentation at the LAGERS office. Should this be required, LAGERS will determine the occurrence, date, and time of such visits.

### Quiet Time

The Provider and its agents, officers, principals, and employees will not engage in any written or verbal communication during the selection period between the Provider, or any individual assisting the Provider to be selected and the LAGERS Board of Trustees, or any LAGERS employee, whether or not such individual or employee is assisting in the selection of the Provider, regarding the merits of the Provider or regarding whether LAGERS should retain or select the Provider.

The Provider will not engage in any lobbying efforts or other attempts to influence LAGERS, to be selected as the Provider. All such efforts made by the Provider, or its agents, officers, principals, employees, or lobbyists will be disclosed to the LAGERS Board of Trustees within five calendar days of becoming known.

Violations of these Quiet Time provisions may result in disqualification.

## Contract Term

LAGERS plans to enter into an agreement with the selected Private Market Consultant for an initial period of 1-year after which LAGERS will retain the right (but not the obligation) to enter into an agreement with the Private Market Consultant for period of an additional 2 years with services and fees to be agreed upon by both parties.

## Fee Schedule

The fee proposal will be reviewed by LAGERS and will be a factor in its selection of the Private Market Consultant. The selection will NOT be based on the Provider submitting the lowest fee proposal, as the fees are only one element of the selection criteria (see Evaluation Criteria above).

# Section 3: Minimum Requirements and Scope of Services

## Minimum Requirements and Scope of Services

Unless otherwise specified, the Provider must meet all the following minimum qualifications and proved all services as outlined below to be considered.

Minimum Requirements

1. Must be legally able to accept and enter a written services contract with LAGERS.
2. As of March 31, 2024, must have been in business for a minimum of five (5) years and provided private market advisory services for a minimum of five (5) years.
3. Must be an SEC-registered investment adviser under the Investment Advisers Act of 1940. If this status changes, the respondent will notify LAGERS in writing as soon as reasonably practicable. The respondent must submit its full Form ADV (Parts I and II).
4. Must agree to provide the minimum services as detailed in the "Minimum Requirements and Scope of Services" section, as well as all other requirements as stated herein.
5. As of March 31, 2024, must provide non-discretionary private market investment consulting to at least three public fund clients with assets of at least $10 billion.
6. Lead consultant assigned to this account must have a minimum of five (5) years of experience in a lead role recommending private market investments across the investment verticals to U.S. public pension funds.
7. The key professionals and/or the organization must not have, nor could they potentially have, a material conflict of interest with LAGERS.

Year 1 Requirements & Services

1. Portfolio Construction
    I. Analysis of current private market holdings across asset class verticals
    II. Presentation on how Institutional Investors structure private market allocations
    III. Analysis of current portfolio relative to ii) above
    IV. Recommendation of holdings to explore for secondary sales
    V. Recommendation for future strategy allocations
    VI. Pacing models to project cash flow and exposure
    VII. Present at Board Meetings as requested
2. Manager Selection and Due Diligence - access to Private Market Consultant online manager database with performance and due diligence reports

Year 2 Onward Requirements & Services

1. All the Year 1 requirements

2. Quantitative Due Diligence
    I. Access to manager universe of cash flows and performance metrics (IRR, TVPI, PME, etc).
    II. Access to exposure (Sector and Geography) and portfolio company information and analysis (e.g. value bridge)
3. Operational Due Diligence (ODD)
    I. Access to existing ODD reports
    II. Regulatory, legal, and media monitoring and alerts on managers
    III. Access to operational due diligence analysts
4. Legal Due Diligence (LDD)
    I. Commercial Review of fund legal documents, focusing on 70 key terms across 12 categories
    II. Interpretation the legalese into plain English
    III. Assessment of whether the term is within market norms, above market or off-market
    IV. Context for best practices for each term
    V. Context from IDD/ODD that is relevant to the term
    VI. Clear recommendations for LAGERS to raise during negotiations
5. Investment Support
    I. Support through negotiation of document amendments and side letter
    II. Preparation of an issues memo to raise issues with the manager and request side letter provisions
    III. Request written comments and draft side letter to GP
    IV. Review of written answers and draft side letter provided by GP
    V. Advice, opinion and recommendations based on responses and draft side letter provided back
    VI. Review of MFN compendium and advice on provisions for the client to select
    VII. Management of LAGERS initial subscription to a fund
    VIII. Preparation of signature-ready subscription document
    IX. Compilation and submission of clients AML package to satisfy fund administrator requirements
    X. Independent verification of wire instructions
    XI. Management of signature and closing process
    XII. Review amendments, consents, and other action items
    XIII. Advise clients on responses for amendments, consents and other action items
    XIV. Prepare forms for regular certifications required by managers
6. Quarterly Reporting Requirements
    I. Market overview and outlook
    II. Allocation breakdown by geography, strategy and industry, based on fund/investment/deal level
    III. Update on each fund/investment
    IV. Listing of each fund/investment by strategy
    V. Date of commitment to each fund
    VI. Commitment amount to each fund
    VII. Drawdown amounts by fund
    VIII. Outstanding commitment by fund
    IX. Distribution amounts by fund
    X. Fund net asset values
    XI. IRR and multiples for each fund
    XII. Peer universe comparisons over various time periods
    XIII. Unfunded commitment allocated to drawn subscription lines by fund
7. Education
    I. Provide LAGERS staff and board with educational and/or training session on Private Markets as requested.

# Section 4: Questionnaire

**All responses should be in the following format:**

**Section Title**

1. **Question Number**
2. **Question**
3. **Response**

## Organizational Overview

1. Provide the name, title, address, e-mail address, telephone, and fax numbers of the contact person from your firm whom we may contact with questions regarding your response.
2. Identify the names and functions of any outside firms with whom you will subcontract to provide the services requested under this RFP. Provide the length of your relationship with each firm.
3. Provide the name, title and professional background of the lead account manager who will be assigned to the LAGERS account.
4. Provide the name, title and professional background of the major support and backup personnel who will be assigned to the LAGERS account.
5. Describe any litigation or regulatory action against the firm and the outcome during the previous five years. Additionally, describe any pending litigation or regulatory action against the firm.
6. Describe and provide evidence of the organization's financial security and solvency.
7. Provide a brief history of your firm, including any parent organization.
8. Please describe the level of coverage for errors and omissions insurance, professional liability insurance, and cyber insurance. List the insurance carrier(s) supplying the coverage.
9. Describe anti-fraud and cyber-security measures that are currently in place to ensure the integrity of the firm's database, transfer and storage of electronic information, and the protection from unauthorized access.
10. Does your firm manage funds for clients? If so, explain how conflicts of interest between different types of clients, and between the firm itself and non-discretionary clients, are avoided.
11. As of March 31, 2024, please list all services provided by your firm and the percentage of total revenue that such services represent. If you firm has a parent company, please list the percentage of total revenue that your firm's services represent of the parent company. Please disaggregate discretionary and non-discretionary revenues.
12. Please list the revenue derived from private market investment consulting services as a percentage of total revenue over the last five (5) calendar years (for all clients and public pension fund clients).
13. Provide details on the financial condition of the firm (include debt/equity and debt/total asset and other pertinent information). Attach the firm's current audited financial statement.
14. How many years of service has your firm provided private market investment consulting to public pension funds?
15. Is your firm a registered investment advisor with the SEC under the Investment Advisors Act of 1940? If so, please attached the most recent Form ADV Parts 1 and II. If not, what is your fiduciary classification?
16. Are there any agreements maintained whereby your firm or any individual within your firm pays referral fees, finders' fees, soft dollars, or other similar considerations or benefits to consultants, brokers, or third parties? If so, please explain.
17. Describe any relationship with investment managers where your firm or the firm's affiliate receives revenues, non-cash, or in-kind benefits.

## Conflicts of Interest

1. Does your firm provide private market consulting services to private market fund of fund managers and/or discretionary private market managers? If yes, how do you manage potential conflicts of interest? (300 words or less).
2. Does your firm have a dedicated full-time compliance officer? Does the compliance officer have a support staff? Please provide a biography of the compliance officer. In 300 words or less, how is employee compliance monitored and enforced. If the firm does not have a compliance officer, who manages conflicts?
3. Does your firm manage discretionary or directed investments the same private market verticals as it provides private market consulting to clients? If so, how is the conflict of interest managed?
4. Does the firm receive compensation directly or indirectly from the sale of manager/general partner (GP)/fund database information?

## Client Relations

1. Provide the firm's total number of investment consulting clients, the number of clients that are pensions, and the total assets under advisement for each of the past five years as of March 31, 2024.
2. Please provide the number and percentage of clients that pay some or all their consulting fees through soft dollar arrangements.
3. Describe the number of clients gained and lost in the each of the past five years. Please break down by client type, including endowments and foundations, pension plans etc. as well as by location. What were the reasons for client loss?
4. Describe your client relations process:
    I. Formal and informal, oral and written communications
    II. Inquiry and problem resolution processes
    III. Information on available services and service delivery issues
    IV. Training in the use of the services and systems

## Personnel – Qualifications, Compensation, and Roles

1. Provide an organizational chart for the firm's executive management, senior investment officers, and the investment consulting services team. Denote geographic locations. Describe experience, education, training, and certifications; number of years of industry experience; and firm tenure for each employee listed in the organizational chart.
2. Supply information, including the start date, on any programs and initiatives that the firm has in place that supports minority and/or women in the workplace, and what industry benchmarks (if any) the firm utilizes to assess the success of its programs and initiatives.
3. Does your firm have a written code of conduct or set of standards for professional behavior? If so, please attach a copy and summarize how they are monitored and enforced (300 words or less).
4. Quantify the number of professionals employed by the firm across all business lines. Provide a table listing all professional turnover (hires and departures) for the past three (3) years, specifying roles and responsibilities.
5. Quantify the total number of employees dedicated to providing investment consulting services in each of Private Markets (Private Equity, Private Credit, Infra, Real Estate). To what extent do you leverage other teams within your organization, if applicable?
6. Describe the roles of the investment consulting services team members and how they interact.
7. Please describe how the firm's compensation structure for its investment consulting services professionals aligns their interests with ours.

8. Provide a brief overview and detailed explanation of how the team dedicated to the LAGERS account would function and describe succession plans in the event of a lead or backup personnel departure (300 words or less).
9. What policies are in effect to control the workload related to the number of clients serviced by each private markets investment consultant or account manager? For example, is there a limit on the number of accounts that a private markets investments consultant or account manager may handle?
10. Summarize your plans for managing your firm's future growth in terms of staff, maximum assets, and the number of clients per consultant given current staffing resources.
11. Provide a brief overview and detailed description of the team's ability to educate trustees on private markets investment matters. For example, what experience do the team members have conducting educational workshops? What type of research materials does your firm develop or have available for clients?
12. Please provide the information in the table below describing your firm's experience in private markets investments (as defined in this RFP).

| | # of Managers Reviewed | # of Partnerships Reviewed | # of Clients Assisted | Amount of Capital Deployed | # of Partnerships Monitored for Performance Reporting |
|---|---|---|---|---|---|
| Private Equity (all strategies) | | | | | |
| Private Real (all strategies) | | | | | |
| Private Debt (all strategies) | | | | | |
| Hedge Funds | | | | | |

## Scope of Work

Please respond to each for the following questions, noting if your response applies to Private Markets (Private Equity, Private Credit, Infra, Real Estate) and / or Marketable Alternatives (or Hedge Funds)

1. Describe your manager search and selection process. Include your process for recommending and shortlisting suitable managers. Would you provide a written analysis that explains the rationale for the recommendation?
2. Describe how you would advise on the sub-asset classes, number of managers, co-investments and style of investment within the asset class.
3. How do you achieve an appropriate level of diversification?
4. Describe your database. What manager research, evaluation criteria, scores, and peer comparison functionality is available online?
5. Describe how your firm conducts in-depth investment and operational due diligence on prospective manager(s). How often do you conduct on-site due diligence? How do you ensure the investment process and strategy of the manager remain sound and accurate?
6. How do you help us respond to capital calls and advise on documents required for KYC/AML and other operational matters?
7. How do you vet the legal agreement between LAGERS and the manager to discover if the terms are aligned with market practice?

8. How do you mitigate the J-curve effect? Provide a transition plan/solution to gain the necessary exposure while waiting for capital calls.
9. Is your firm prepared to make presentations and provide reports to the Board on a quarterly basis?

## Private Market Consulting Philosophy

1. Summarize your firm's philosophy and approach to advisory private markets investments consulting services relating to the consultant's relationship with Boards, staff, private markets investments managers, etc.
2. What consideration does liquidity play in structuring a client's portfolio? Briefly explain (100 words or less).
3. Do you invest directly in portfolio companies? If so, please summarize your philosophy and investment approach toward investing directly. Also, please include a detailed explanation of how you decide in which deals to invest.
4. Please provide a brief overview and detailed description of your process for monitoring and reporting on market trends. In addition, include a sample research report generated by your firm.
5. Describe your private markets investments universe (i.e., deal flow), including how your firm gains access to funds/partnerships that might otherwise be unavailable to new investors. Please provide examples.
6. What are your firm's competitive advantages regarding deal sourcing and deal flow?
7. Does your firm have the ability to access capacity-constrained managers? If so, how does your firm prioritize investors for whom the fund may be appropriate?
8. What process or procedures do you utilize to ensure that you have ongoing access to the "top-tier" (i.e., top-quartile) GPs/funds?
9. Please provide a brief overview of the benchmark or process that your firm uses to determine which GPs are "top quartile." Summarize the advantages and disadvantages of using this benchmark or method.
10. Briefly describe the key strengths and competitive advantages your firm possesses that generate superior performance and service to clients.
11. Please summarize and describe your approach to providing access for your clients to fund managers. Include your process of allocating manager commitments among clients. Do discretionary clients have an advantage of fund allocation over advisory clients? What advantages do you bring for your clients, specifically in accessing managers?
12. Indicate the types of investment strategies and vehicles that your firm has experience with for public pension plan clients and describe the optimal situation for using one vehicle type versus the others:
    I. Limited Partnership Interests
    II. LLC
    III. Fund of Funds
    IV. Co-Investments
    V. Secondaries
    VI. Continuation Vehicles
    VII. Targeted or Specialized Investment Programs

## Due Diligence Process/Investment Selection

1. Does your firm use some form of pre-approved GP/fund list? Briefly explain why this practice is superior or inferior. Then, please attach a complete list of your firm's pre-approved GPs and funds.
2. Please provide a brief overview and detailed explanation of how your firm sources new investment opportunities. For example, how does your firm source and develop new relationships with GPs prior to making a commitment? Does your firm prefer to strengthen existing relationships and do follow-on funds or seek new GPs to find added value? What criteria are emphasized in the latter stages of a search?
3. How many fund searches did your firm perform in 2019 and 2023 broken out by year and by vertical?
4. Summarize how investment recommendations are identified and monitored within your firm. Specify how your data is generated.
5. Please summarize and explain your firm's due diligence process in assessing a potential investment:
    I. Who is responsible for these activities?
    II. Are any of these functions ever outsourced?
    III. Describe each step in your due diligence process that would lead to an investment.
    IV. Discuss qualitative versus quantitative aspects, highlighting key decision drivers for both.
    V. Describe the most common critical areas of focus.
    VI. Sources of data for analysis – how to verify GP information and data
    VII. Legal review
    VIII. Are ILPA principles and guidelines applied in the sourcing and due diligence process?
    IX. Who or what internal governance body approves commitments to funds? Are such commitment decisions approved for all similar clients, or are they specific to each client? Provide resumes for members of the investment committee.
    X. Describe the process for evaluating non-U.S. GPs and how it differs from U.S. GPs.
    XI. Does your firm run a conflict check per client or at a firm level? If so, at what stage of the due diligence process?
    XII. Please discuss how you would conduct/handle due diligence for special requests by LAGERS.
    XIII. On-going monitoring – how often ongoing due diligence is conducted and how often site visits are made?
6. Please attach (a) a copy of a recent due diligence report recommending a commitment and (b) a recent due diligence report where an investment was declined. Redacted reports are acceptable.
7. Describe your firm's experience and capability for analyzing fund structure. What influence does a client's current GP/fund roster have on selecting a new manager?
8. Comment on whether and how the due diligence process differs for fund sponsors you have invested with before versus those you have not and whether the process varies depending on investment stage and business cycle. Your response should include the following:
    I. Screening Criteria
    II. Targeted Fund Sponsors
    III. Due Diligence
    IV. Approval
    V. Negotiation of Terms and Conditions
    VI. Follow-up and ongoing monitoring
    VII. Use of Outside Advisors, Consultants, Advisory Boards, etc.
9. Please provide a list of all limited partner advisory committee (or similar) memberships that the firm holds for either itself or on behalf of clients.

10. In negotiating a partnership agreement or similar document, describe areas the firm considers most important. Are there any provisions that the firm proactively seeks to include or improve upon? Are there terms or concerns that have changed recently? Does your firm have bargaining power with fees? Provide examples of situations where the terms you negotiated on behalf of your clients led to better than industry average contract terms.
11. Do you have a full-time dedicated team responsible for conducting GP/fund research? How many due diligence site visits are conducted each year by each of these key staff? Please provide further detail as outlined in the table below.

| | Private Equity | Private Real | Private Debt | Alts/Hedge F. |
|---|---|---|---|---|
| # manager research staff | | | | |
| # other staff involved in manager research | | | | |
| % time spent on research by other staff | | | | |
| # of in-office/on-site visits | | | | |
| Legal reviews | | | | |
| ODD reviews | | | | |
| IDD reviews | | | | |

12. What is your process for identifying and analyzing first-time funds? How many first-time funds have you made commitments to within each of the last five (5) calendar years? List a sample of the first-time funds you have made commitments to and indicate the fund's strategy and vintage year and provide the gross IRR of each fund as of December 31, 2023. Conceal names as appropriate.
13. Does your firm have a policy regarding emerging management firms? If so, please summarize the firm's policy.
14. Describe your firm's experience with emerging managers. What is your definition of an "emerging manager"? How do you source these types of funds? List a sample of emerging managers you have made commitments and include the fund name, strategy, and vintage year. Conceal names as appropriate.
15. Proved a brief overview of your strategy on investing in continuation vehicles, include both your philosophy on a current fund that rolls into a continuation vehicle and a separately non-current fund continuation vehicle strategy.
16. Describe how investment opportunities are allocated among clients and/or fund of funds sponsored by your firm. Please indicate specifically how investment opportunities are (will be) allocated among non-discretionary advisory clients, discretionary advisory clients, and fund-of-funds. Please state whether any clients or funds have preference or priority. Do prior relationships factor into your firm's allocation policy? If so, how do they impact allocation policy and investment prioritization? If your firm maintains an investment queue, provide details on how the queue functions.
17. Please provide a brief overview and detailed description of your firm's deal sourcing research database. For example, is the database proprietary or purchased from an outside vendor? Are GPs/funds charged for inclusion? How many GPs are tracked? How are GPs/funds added? What is the method for gathering information on the GPs/funds? How often is the data updated?
18. What level of detail is included in your database to be used for screening (e.g., assets under management, client information, staffing information, research capabilities, ownership fees, organizational changes, etc.)? How is this information verified? For example, how often is each manager or GP in the database visited by your staff? Provide an example of a research report prepared by your firm.

19. How frequently is the private markets investments manager information updated? What are the sources of data, and how do you ensure that your data is an unbiased and fair representation of the private markets investments manager universe? How is the investment strategy (core, enhanced, high return, etc.) determined for an investment manager or product? (i.e., what are the specific criteria used?)

## Private Market Performance

1. Please describe how your firm monitors GPs.
    I. Please include your firm's experience and capability for assessing a GP's total performance.
    II. Discuss the number of individuals assigned to monitoring investment products and the frequency of both their internal and external manager visits.
    III. What critical criteria does your firm consider in the review of a GP?
    IV. How frequently are current client investments reviewed?
    V. How often does your firm meet with GPs or officers of the company (in the case of direct investments)?
    VI. Describe how your firm identifies problems with GP activities and performance. Include the process by which steps are taken to rectify the issues.
    VII. Describe steps you have taken on behalf of your clients who have partnership investments that are performing poorly, have legal issues, significant key person changes, or where there is a non-performing GP.
    VIII. At what point would your firm recommend terminating a GP or selling out of a fund? Please provide a sample termination recommendation.
2. What is the percentage of fund turnover in secondary market sales across all client portfolios over the last five (5) calendar years?
3. Summarize and describe your performance measurement reporting system and methodologies.
4. What sources of data do you utilize for analyzing and evaluating your clients' private markets investments?
5. Outline the overall capabilities of your performance measurement reporting database system. Is your performance measurement system proprietary/developed internally or an "off-shelf" product? Do you plan to make any changes to the current system?
6. What private markets investments categories are tracked in your performance measurement system?
7. In a paragraph, discuss your firm's tracking system for prospective investments. How many years of performance data are in the system for prospective investments?
8. Briefly describe the private markets portfolio analytics your firm can provide. How are these analytics used in evaluating fund performance? Provide an example.
9. Provide a detailed description of the peer universe to which a client such as LAGERS would be compared (include number of public funds, the total number of funds, the range of public and non-public fund assets, the mean and median public fund assets, as well as any other relevant details). In addition, describe how benchmarks are chosen or developed for evaluating the performance of public pension plan clients and how performance is compared to similar portfolios.
10. Please describe the methodologies you employ to ensure a consistent and fair comparison of performance across different managers. How do you address differences such as the inclusion or exclusion of GP commitment in performance metrics?
11. Provide a brief overview and detailed description of the client reporting process you typically undertake in preparing quarterly and annual reports. Assuming the information is available on a timely basis

from the GPs, how long would it take you to prepare and deliver quarterly and annual reports to the client?

12. Summarize and explain the quarterly reconciliation process. How do you verify and reconcile the manager's returns? How soon are quarterly reports and IRRs available after the end of each quarter? Do you reconcile your calculated performance with fund managers? Describe the interactions and reconciliation process between your firm's performance calculations and that of the managers or funds. Do you reconcile your calculated performance with client custodian banks? Are reported cash flows and NAV data reconciled with fund managers and client custodian banks?
13. List the services your firm provides over the Internet that is accessible by LAGERS online. Please include a description of LAGERS account analysis and performance that would be available online. Does your firm provide customized computer-based analytical or reporting tools to its clients?

## Exhibits

1. Please include the following sample copies
    I. Manager due diligence report for recommended and declined investment
    II. Sample commitment pacing plan
    III. Fund due diligence questionnaire and information request list
    IV. Research report
    V. Sample white papers over the past three (3) years
    VI. Quarterly performance review
    VII. List/sample of client resource tools
    VIII. Examples of educational materials
    IX. Alphabetical client list segregated by client type (endowment, public fund, etc.)
    X. Private market resources, segregated by type (private equity, private real, etc.)
        i. Team/expertise
        ii. Firm's last five (5) years of deal flow volume
    XI. Code of conduct or set of standards for professional behavior
    XII. Two (2) most recent investment recommendation memo and one (1) investment rejection memo, if available
    XIII. Examples of portfolio status reports and other reports useful in the ongoing monitoring of existing investments

## Disaster Recovery

1. Please describe your general backup procedures in the event of an in-house systems failure or a material business disruption (expected to impact operations for more than 8 hours).
2. Describe the frequency of disaster recovery and business continuation testing.

## Fees

A cost proposal must be prepared and submitted with your firm's service proposal. Your cost proposal must include total projected fees charged based on the requested services broken out by year 1 and year 2 onward as defined in the 'Minimum Requirements and Scope of Services' section.

The fees can be a single line item or broken down by service in which LAGERS and elect to subscribe to specific services or not. As noted in the RFP, LAGERS reserves the right to, but not obligation, to engage the Private Market Consultant for year 2 services. Finally, please include any one-time start-up costs LAGERS may incur to begin service.

## References

For each asset class to which you are responding, provide the following information from three (3) current or recent (within the past 12 months) investment consulting services clients: client name and address, contact name, title, phone number, email address, and a brief statement of services rendered.

# Section 5: Terms and Conditions

## General Terms and Conditions

### Completeness

A response must be complete as to all terms and conditions, including appendices on the date submitted, and must be submitted with the understanding that, for any Provider ultimately selected as a vendor for the program, its responses to all Parts of this RFP will be incorporated by reference into the contract. Additional information submitted after the response document or separate from the response document may not be considered unless specifically requested by LAGERS and then only to the extent requested.

### Requests for Modifications of a Response

A Provider to this RFP may withdraw and modify its response to the Service Questionnaire prior to the response deadline. A request for modification must adequately explain the reasons for the request to modify the response. If LAGERS approves the request, a modified response may then be submitted. LAGERS will not consider modification offered in any other manner, oral or written. Under no circumstances may the Provider modify a response unilaterally at a date or time after the response deadline specified for each part of this RFP.

### Provider Guarantees

All terms and conditions submitted in response to this RFP (all Parts) may not be altered by the Provider for a period beginning on the first date of any response filing for this RFP and ending at the conclusion of the engagement period. All fees and charges, as offered in response to this RFP, must be guaranteed for the term of the contract.

### Request for Clarification of RFP

All questions regarding the clarification of any requirement, standard, or question must be received by LAGERS no later than 5pm Central Time on July 12, 2024.

Note to Providers:

Written requests for clarification should be sent via email to sday@molagers.org.

LAGERS reserves the right to accept or reject any or all requests for clarification, either in whole or in part, and may require requests to be clarified or supplemented through additional written submissions. All Providers will be notified of the acceptance or rejection of their request for clarification. Oral requests for clarification will not be accepted. Any response to an oral request will not be in any way binding on LAGERS and cannot be interpreted as a modification or clarification of this RFP. Such responses shall be considered an addendum to and as such, an integrated part of this RFP.

### Rejection/Waiver of Information

LAGERS reserves and may exercise the right to reject any or all responses to this RFP, and to waive any material or immaterial defect in a response or deviation from the requirements of this RFP. Any waiver exercised under this section will in no way modify any provision of this RFP.

### False or Misleading Statements

Any response which contains false or misleading statements, or which provides references which do not support an attribute, condition, or capability claimed in the response document, will not be considered by LAGERS if, in the

opinion of LAGERS, such false or misleading statement was intended to mislead LAGERS in its evaluation of the response.

### Public Records

The Provider recognizes that all documents made or received in connection with the transaction of official business by LAGERS are public records pursuant to Missouri Revised Statutes. This may include records held by a provider to the extent that they are considered records of the organization.

### Response Deadline

The response deadline for this RFP is 5pm Central time on July 26, 2024. Electronic submissions only, no paper copies will be accepted. Failure to meet the response deadline will result in automatic disqualification. LAGERS accepts no responsibility whatsoever for failure to deliver electronically.

**Please submit responses to:**

**sday@molagers.org**

## Terms and Conditions of Contract for the Successful Provider

### Contract Execution

The Provider shall negotiate the final contract in good faith within the conditions which are specified in this section. The contract shall not become effective nor be enforceable as to any terms and conditions specified therein except as an offer to contract by the Provider until and unless it is signed by all authorized parties thereto.

### Term of Contract

The contract(s) entered into with the successful Provider to this RFP will be for a period beginning on or about September 1, 2024, and ending upon termination in accordance with the contract. A one-year contract, with an option, but not obligation, to expand services for a two-year contract is contemplated, subject to the review and recommendations of LAGERS, the satisfactory negotiation of terms (including a price acceptable to both LAGERS and the selected provider), and the concurrence of the LAGERS Board of Trustees.

## Specific Conditions

### Provider Responsibility

The Provider shall discharge each of its duties and exercise each of its powers with due care, skill, prudence, and diligence under the circumstances that a prudent expert acting in a like capacity and familiar with such matters would use in the conduct of any enterprise of like character and with like aims. The Provider shall discharge its duties under the contract solely in the interest of LAGERS.

### Confidentiality

The Provider, in the course of its duties, may handle confidential investment, financial, accounting, and statistical information pertaining to LAGERS and its beneficiaries. The Provider shall, except to the extent otherwise required by any applicable federal or state law, or as requested by regulatory authority or as requested by LAGERS, keep confidential and safeguard any and all information obtained during the course of the contract.

### Conflict of Interest

The Provider shall not directly or indirectly receive any benefit from recommendations made to LAGERS and shall disclose to LAGERS any personal investment or economic interest of the Provider that may be enhanced by the recommendations made to LAGERS. Further, the Provider shall agree and abide by LAGERS ethics policy.

## Hold Harmless

The Provider shall indemnify and hold LAGERS harmless from all losses, claims, damages, liabilities, judgments, actions, costs, and expenses (including reasonable attorney fees), arising out of negligence, willful misconduct, or breach of fiduciary duty or contract of the Provider or its agents, nominees, appointees, or sub-providers.

## Nondiscrimination

The Provider agrees not to discriminate against any employee or applicant because of age, race, religion, color, disability, ancestry, sex, national origin, or any other type of discrimination prohibited by applicable federal law and/or applicable Missouri statutes.

## Insurance

The Provider shall provide LAGERS with an officer's certification as to errors and omissions insurance coverage (including amount of coverage).

## Termination

The contract will be subject to termination by LAGERS upon written notice given under the terms and conditions of the executed contract.

## Assignments

The Provider shall not assign or delegate its rights or responsibilities, and no corporation or entity which acquires substantially all of the Provider's business and assets or with which the Provider merges, consolidates, or otherwise combines, may succeed to the Provider's rights and responsibilities without LAGERS' prior written consent.

## Changes in Ownership Structure and/or Key Personnel

LAGERS requires written notification of changes in key personnel at least two weeks in advance of any such changes. The contract may be terminated immediately upon written notice from LAGERS to the Provider because of any material change in the control of the ownership structure of the company or because of changes in the Provider's key personnel.

# Section 6: LAGERS Rights

## Rights and Prerogatives

LAGERS reserves the right to exercise the following prerogatives to:

1. Accept or reject any or all proposals.
2. Not award a contract under this RFP.
3. Waive or modify minor irregularities (including minor typographical and computational errors) in bids/proposals and to make minor modifications after prior notification and concurrence of the Provider.
4. Utilize any and all ideas submitted in the proposals received, unless these ideas are identified by the Provider as covered by patent, copyright, or other proprietary rights.
5. Change the proposals final filing date.
6. Withdraw the RFP and to reissue a modified version of the RFP.
7. Make an award under this RFP in whole or in part.
8. Negotiate separately with any source whatsoever, in any manner necessary, to best serve the interests of LAGERS.
9. Conduct contract negotiations with the next eligible responsible offeror should LAGERS be unsuccessful in negotiating an agreement with the selected offeror within a time frame acceptable to LAGERS; such time frame is to be determined solely by LAGERS based on the best interests of LAGERS.
10. Subsequent to the bid opening, modify or amend the specifications.
11. Seek clarification, at LAGERS' sole discretion, for the purpose of fully understanding the Provider's proposal and seek revision from all Providers capable of receiving award.
12. Eliminate mandatory requirements unmet by all offerors.
13. Use the proposal, information obtained through site visits, management interviews, investigation of Provider's qualifications, experience, ability, financial standing, and any other information that is generally available in the public domain to evaluate the Provider's response to the RFP and its ability to provide the goods and services requested.
14. To impose penalties for other than completely satisfactory performance, in accordance with state rules, regulations, guidelines, past practices, or LAGERS' policy.
15. Establish an extended acceptance testing period and, if not satisfied with the performance during the testing period, award the contract to the next most responsive bidder.